EXCELSIOR TECHNOLOGIES PRIVATE LTD.

Metro Office Transit and Fraud Audit Policy (v2.0)

Document Ref: ET-FIN-AUD-2023-08 | Effective Date: 15-October-2023

Section 1: Base Office & Attendance Logging Rules

Employees assigned to metro regions may be required to work across multiple physical office locations. Each employee is assigned a primary "Base Office" for administrative and spatial purposes. All employees must record their entry and exit at each physical office using the automated security gates. These timestamps establish daily physical presence and are used to audit mileage claims.

- The first Check-In of a calendar day marks the entry from the employee's residence.
- The last Check-Out of a calendar day marks the departure to the employee's residence.
- Any sequential Check-Out followed by a Check-In at a different location on the same day indicates official inter-office transit.

Section 2: Transit Leg Calculation Rules

The calculated ground-truth distance using the rules below is defined as the **"Policy Distance"**.

2.1 First Leg (Home to First Office of the Day)

For the initial leg of any calendar day where travel commences from the employee's residence to a workspace other than their primary base office, the allowable distance is determined by subtracting the distance to their regular base office from the distance to the visited facility. If the regular base commute exceeds this alternate distance, no mileage is recorded for this opening leg. If the first workspace visited is their primary base office, no mileage is reimbursable.

2.2 Last Leg (Last Office of the Day to Home)

Upon departure to the employee's residence at the end of the day, if the final checkout is from an alternate facility rather than their base office, the mileage claimed is the distance from that facility back home minus their standard home-to-base commute distance, capping at zero if negative. If the final workspace departed is their primary base office, no mileage is reimbursable.

2.3 Intermediate Legs

Travel between different offices is fully reimbursable based on the asymmetric values in the spatial distance tables, provided they do not fall under Section 3.1.

Section 3: Special Policy Exceptions & Penalties

3.1 Personal / Lunch Breaks

If the time elapsed between a Check-Out and the subsequent Check-In on the same day is strictly less than 75 minutes, AND the origin and destination offices are the same, the gap is classified as a Personal Break. No mileage is reimbursable for travel during a Personal Break. Standard rates apply to normal weekdays. A 10% premium applies to travel undertaken on weekends (Saturday-Sunday) or official Holidays listed in the company's holiday calendar, applicable only to the distance driven on those specific days.

3.2 Missing Log Anomalies

If an employee records a Check-In at an office without a preceding Check-Out from the office they last checked into on that day, it is flagged as a Missing Log Anomaly. The missing leg's travel distance is still calculated and included in the Policy Distance. However, a flat penalty of 15% is deducted from that entire calendar day's total reimbursable mileage.

Section 4: Odometer Claims Audit & Fraud Detection

Employees submit actual odometer readings (StartOdometer and EndOdometer) for reimbursement. The difference is defined as the **"Odometer Distance"**.

4.1 The Audit Threshold (Suspect Claims)

The travel system automatically compares the submitted Odometer Distance against the calculated Policy Distance for each day. A daily claim is flagged as suspect if the difference between the submitted odometer reading and the standard routing distance exceeds eight percent of the standard distance, or if it exceeds five kilometers, whichever represents the lesser of the two limits. If a claim is not flagged as suspect, the employee is reimbursed for their actual odometer distance.

4.2 Fraud Classification & Penalty

- If a day's claim is flagged as suspect and the attendance log shows the employee took a personal break (as defined in Section 3) on that same calendar day, the claim is upgraded to confirmed fraudulent.
- For any day classified as confirmed fraudulent, the entire day's mileage claim is completely rejected, yielding zero reimbursement, and the employee is fined a flat penalty of INR 1,000.00, which is subtracted from their net monthly reimbursement.
- For claims flagged as suspect but not confirmed fraudulent, the claim is approved but capped and reimbursed strictly at the calculated Policy Distance. No fine is applied.

Section 5: Mileage Reimbursement Rates

Table 3: Tiered Personal Vehicle Rates

Monthly Cumulative Distance Bracket	Class A Vehicles (Under 1200cc)	Class B Vehicles (1200cc and above)
0 to 150.0 km	INR 15.00	INR 18.00
150.1 to 500.0 km	INR 12.00	INR 14.50
Over 500.0 km	INR 9.50	INR 11.00

Note: Net mileage totals must be calculated cumulative-historically per employee over the calendar month. Rate brackets transition precisely at the threshold boundaries.